

Amendment No. 1 to SB0528

Stevens
Signature of Sponsor

AMEND Senate Bill No. 528

House Bill No. 309*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 58, Chapter 3, is amended by adding the following as a new section:

58-3-115. Tennessee competitive appeal program.

(a) The department of veterans services shall establish a program to provide legal representation for eligible claimants in appeals of veterans' disability benefit claims. Under the program, the department shall contract with a private law firm to represent claimants as described in this section.

(b) The representation available under this program is limited to claimants who have had an appeal of a claim for veterans' benefits remanded by the United States court of appeals for veterans claims to the board of veterans' appeals or other appropriate veterans administration of the United States authority for further proceedings. The department shall notify an eligible claimant of the opportunity to receive representation through the contracted law firm. Participation by eligible claimants is voluntary.

(c) The agreement between the department and the private law firm shall not obligate the state to pay any fees or expenses. The contracted firm shall bear all costs of providing representation unless and until a contingency fee is paid under subsection

(d). In no event shall the department or the state be liable for attorney's fees, court costs, or case expenses under the contract.

(d) The contracted law firm's sole compensation for representing a claimant under this program is a contingent fee paid out of any benefits recovered for that claimant. The fee must be an amount agreed upon in the attorney-client fee agreement and be consistent with federal regulations. If no monetary benefits are awarded, the firm shall not receive a fee. The firm shall not charge the claimant any retainer, hourly fee, or other compensation, and shall only receive the contingent percentage if the claim is successful.

(e) The contracted firm is responsible for all reasonable case-related expenses incurred during representation, including, but not limited to, filing fees, obtaining medical records, expert opinions, and travel expenses. The contracted firm may seek reimbursement for expenses solely in connection with the contingent fee from benefits awarded, to the extent such inclusion is allowed by law, and shall not require upfront payment of any expense by the claimant. If the representation does not result in a benefit award, the claimant is not responsible for any expenses incurred by the contracted firm during representation.

(f) A claimant is not required to accept representation through the contracted law firm. An eligible claimant who opts to use the contracted firm's services must consent in writing and enter into a representation agreement with the firm. Nothing in this section diminishes or replaces existing services available to claimants through the department.

(g) The department shall ensure that any law firm contracting under this section has an office located in this state with a primary practice focusing on veterans' benefits law, has at least ten (10) years of experience representing claimants before the United States department of veterans affairs in claims for compensation, has a principal owner or practice group leader that has entered appearances at the United States court of appeals for veterans' claims, and that its attorneys representing claimants under this section are accredited by the United States department of veterans affairs.

SECTION 2. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.